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Operational progress was driven by high utilization, efficiency gains and continued quality leadership.

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COO's Review

In 2025, we delivered a year of disciplined execution, sustained efficiency and steady progress against a clear operational agenda. Across our network, we remained firmly focused on running reliable, high-performing assets that consistently meet customer demand while supporting our broader growth ambitions.

Michael Joachim Albers
Chief Operating Officer



Operational discipline powering resilient growth.

Through tight operational control, targeted investments and a strong safety and quality culture, we continued to provide a stable foundation for commercial expansion and portfolio diversification.

Operational excellence remained the defining theme of the year. Across our production network, most sites consistently achieved average efficiency levels above 94%, reflecting stronger asset utilization, fewer unplanned stoppages and improved process stability. We achieved these outcomes through tighter maintenance planning, enhanced technical oversight and closer coordination between our operations, quality and supply chain teams. Strengthened governance around maintenance execution and spare-parts management improved site-level responsiveness, maintaining consistency and reliability across our manufacturing footprint.

Technology continued to play an increasingly important role in supporting our operational performance and quality. During the year, we completed the rollout of integrated digital platforms that provide real-time visibility into production performance, quality indicators and energy usage across all sites. This enhanced transparency strengthened decision-making at both plant and head-office levels, enabling faster interventions, more proactive planning and more consistent quality outcomes. The broader adoption of data-led monitoring and predictive maintenance capabilities advanced our shift toward preventative operations, reducing downtime risk and extending asset life.

Alongside efficiency and digitalization, we further embedded sustainability into our day-to-day operations. Energy-optimization initiatives delivered tangible cost and performance benefits, supported by power-factor improvements, lighting upgrades and smarter energy monitoring across sites. We also enhanced operational resilience and food safety through the expanded use of chemical-free heat treatment for pest control, significantly reducing downtime and lowering environmental impact. In parallel, we signed a long-term solar power agreement with Safeer for our Tabuk and Al-Ahsa sites, representing a major milestone in our sustainability roadmap and laying the foundation for renewable energy integration from 2026.

Capacity expansion and operational readiness remained central to how we plan for future growth. During the year, we advanced several strategic projects designed to support rising demand and greater product diversity. These included progress on the Mill C project in Al-Qassim, which is scheduled to commence operations in 2026 and will incorporate next-generation milling technology and enhanced cooling systems to improve yields and operational efficiency. Additional upgrades across our flour and feed operations strengthened flexibility, logistics efficiency and product performance, ensuring capacity development remains aligned with our commercial and market expansion.

In parallel, we strengthened our operational platform through targeted investments in storage, logistics and feed capabilities. The acquisition of Al Manar Feed plant, with a production capacity of 450 tons per day and silo storage of 30,000 tons, expanded our feed manufacturing capacity and supported a broader operational scale within the Kingdom. Enhancements to bran handling and storage improved density and reduced delivery costs for both customers and internal users, while new cold-storage infrastructure reinforced finished-goods integrity and energy efficiency.

Above all, the year reinforced the importance of our people and process discipline in sustaining performance. Continued investment in technical capability, clearer accountability and cross-functional collaboration strengthened execution across our operating model. By maintaining a clear focus on efficiency, reliability and continuous improvement, we remain well positioned to support growth, manage complexity and deliver consistent value to customers and Shareholders as we move into our next phase of development.

Michael Joachim Albers
Chief Operating Officer

COO's Review continued

Key Activities of the First Milling Company



Grinding and packaging: Wheat, corn, soybean, semolina and durum



Manufacturing: Flour and dough for bakeries; livestock feed, concentrated animal feed, poultry feed, bird feed and plant by-products used as animal feed



Storage: Flour and agricultural products, including food and animal feed and dry foods



Retail and wholesale distribution: Flour, bran, ready mixes, durum and feed

Increasing capacity. Driving scale.

900 t/d in Al Qassim wheat milling

600 t/d in Al Ahsa wheat milling

600 t/d in Tabuk wheat milling

300 t/d in Jeddah feed mill

600 t/d in Al Qassim feed mill

2021

2,100t/d in Jeddah wheat milling

2022

Al Qassim feed mill upgraded with additional 100 t/d

2023

300 t/d in Jeddah, new silo for durum mill

150 t/d in Jeddah, new pesa mill

450 t/d Al Manar Feed factory acquired

2025

Mill A upgraded with an additional 250 t/d (Jeddah plant)

2024

Mill C upgraded with an additional 250 t/d (Jeddah plant)

2026

600 t/d Mill C in Al Qassim to be commissioned

130 t/d pesa mill in Al Qassim to be commissioned

120 t/d feed mill upgrade in Jeddah plant

Product Portfolio | Our Brands and Products



Flour products

We offer an extensive selection of flour products to meet various baking and culinary needs. This includes wholewheat flour, specialty flours and all-purpose flours and these are all marketed under its two leading commercial brands "First Mills" and "Aloula".



Durum wheat products

We rely on the finest quality durum wheat in our semolina, Jareesh and Harees products – essential ingredients used in preparing a wide range of traditional and modern recipes, such as pasta, Arabic desserts and others.



Animal feed products

We offer a range of animal feed products through its distinguished brand "Naffa'a", designed to meet the nutritional requirements of livestock and others. These feeds are characterized by their unique formulation and support optimal health and improve productivity.



Bran and wheat derivative products

We produce bran and wheat germ products that serve as valuable nutritional components for both human consumption and animal feed. These by-products are integral to a balanced diet, whereas oats are stand-alone products or used as key ingredients in food production.



Ready-mixed products

To inspire culinary creativity, we offer Aloula Mixes, a collection of specialty flour-based mixes that simplify the preparation of the most-consumed baked goods at home.



Aloula Gluten Free Flour products

We produce Aloula Gluten Free Flour that delivers a smooth texture across a wide range of gluten-free recipes, while maintaining taste and quality. It serves as a reliable substitute for customers with dietary restrictions.



Pesa Mill products

We also own a specialized mill for producing Chakki Atta flour (100% wholewheat flour) for individual and manufacturing customers in different sizes, which is currently operating at full capacity.

COO's Review continued

Milling Snapshot

Capacity and network

- Mills in operation: 15 (vs. 11 in 2024)
- Silo storage capacity: 250,000 tons (vs. 220,000 tons in 2024)
- Annual installed milling capacity: 1,550,150 tons

Daily production capacities

- Wheat milling (design): 5,150 tons/day
- Flour milling: 3,672 tons/day
- Bran milling: 1,238 tons/day
- Feed production: 1,350 tons/day (vs. 900 tons/day in 2024)
- Durum milling: 300 tons/day

Performance and utilization

- Installed milling capacity utilization: 94%
- Wheat milled during the year: 1,623,024 tons (vs. 1,515,460 tons in 2024)
- Wheat milling efficiency: 106%

Flour product mix

By Volume

Superior flour	70%
Bakery flour	80%
Brown flour	95%

Production and Revenue

Flour	2021	2022	2023	2024	2025
Production (tons)	903.8	987.8	1,031.4	1,125.6	1,219.4
Revenue (ﷲ millions)	494.9	507.4	552.9	599.1	615.8

Feed	2021	2022	2023	2024	2025
Production (tons)	248.6	174.6	249.3	278.6	341.4
Revenue (ﷲ millions)	222.5	273.7	271.1	311.1	351.7

Bran	2021	2022	2023	2024	2025
Production (tons)	259.9	296.4	332.0	385.6	369.7
Revenue (ﷲ millions)	83.7	132.6	140.3	137.8	142.9



Customers and Success Partners

First Milling Company serves a broad and diversified customer portfolio, organized into four primary sales channels.

- **B2B customers**
Large food manufacturers and commercial bakeries, as well as smaller businesses such as restaurants, catering companies and small bakeries that use flour as a core input in their operations.
- **Traditional trade**
Distributors and wholesalers that purchase the Company's products in bulk and resell them to other customers, including flour traders and both large and small wholesalers.
- **Modern trade**
Organized retail outlets serving end consumers, including supermarkets and other modern retail formats.
- **Farms and feed distributors**
Farms, traders and distributors supplying animal feed and bran to livestock and poultry producers.

Success Story

Quality and Assurance at the Core:
Raising the Bar

First Milling Company continued to advance its quality and food safety platform, maintaining multi-standard ISO certifications across all four plants and embedding Good Manufacturing Practices (GMP) and HACCP standards at every stage of production. A dedicated Quality and Safety Sector – supported by advanced laboratories and ongoing capability-building – underpins a robust, science-based control environment that safeguards product integrity and consumer trust.

During the year, the Company strengthened its quality management system by standardizing procedures across plants, tightening supplier qualification and audit processes and using laboratory insight to support faster, more accurate decision-making. Continuous monitoring, corrective action programs and cross-functional quality reviews helped to reduce non-conformities and ensure every product meets First Mills' stringent quality and food safety requirements.



Quality and Assurance Highlights (2025)

05

plants certified
ISO 45001, ISO 9001,
ISO 14001 and ISO
22000, plus FSSC
22000 V6 Certification,
and HACCP and Halal
accreditations

598

physical tests carried out per day (avg.)

893,520

quality tests conducted across materials and finished goods

09

specialized quality training courses delivered

171

employees trained in quality and food safety disciplines

ONE HUNDRED

microbiological tests completed during the year

1,750

chemical tests carried out per day (avg.)

1,200,728

safe operating hours recorded during the year, with 6 accidents and injuries compared to 9 last year



**Consistent quality.
Scaled performance.
Trusted leadership.**

About First Mills Brand

The First Mills brand represents the Company's core flour and wheat-based portfolio, serving retail, wholesale and industrial customers across Saudi Arabia. Anchored by advanced milling capabilities and a nationwide production footprint, the brand delivers a broad range of staple flour, semolina, bran and wheat derivative products. Through disciplined execution, quality assurance and operational efficiency, First Mills remains a trusted supplier to key distributors, retailers and food manufacturers, supporting stable demand, strong market presence and sustained business performance.



In 2025, the First Mills brand delivered strong operational and commercial momentum across its core flour business. Performance was supported by high plant efficiency and consistent product quality, alongside expanded distribution and deeper partnerships with key customers. Focused execution across production, quality control and logistics enabled the brand to capture volume growth, strengthen presence in priority markets and reinforce its leadership position across retail and trade channels.

Accelerating Volume Growth and Market Penetration

The First Mills brand achieved 33% growth in volume sales compared to the previous year, driven by strategic partnerships with key distributors across priority markets. Retail sales increased by 10% year-on-year, reflecting broader geographic expansion across the Kingdom and stronger execution in core channels. Riyadh emerged as a key growth engine, with distribution expanding by 21% compared to last year, reaching the highest distribution level achieved by the brand in this critical market.

Strengthening Retail Leadership and Customer Trust

The brand continued to demonstrate strong performance in highly competitive retail environments. First Mills achieved 10% growth in retail sales in Saudi Arabia in 2025, driven by the Company's geographic expansion across the Kingdom and supported by the strong expansion in Riyadh noted above.

Operational Efficiency Supporting Product Consistency

Operationally, the First Mills brand benefited from high mill efficiency, averaging above 94%, supported by fewer stoppages, improved extraction rates and lower specific energy consumption. Advanced quality control systems, including NIR-based monitoring, enhanced product consistency across flour grades and pack sizes. These operational strengths enabled the brand to meet rising demand while maintaining stable quality and dependable supply to customers.

Core Flour Portfolio anchored by Versatility and Scale

Flour remains the cornerstone of the First Mills brand, serving household, commercial and

industrial applications. Products are offered in formats ranging from 1 kg consumer packs to 45 kg bags and bulk deliveries, ensuring accessibility across customer segments. The breadth of applications and consistent performance of the flour portfolio continued to underpin the brand's contribution to overall Company results.

Durum, Semolina and Wheat Derivatives Extending Value

The brand's durum wheat and semolina products, produced at the dedicated Jeddah mill, continued to serve both retail and industrial demand for traditional foods, specialty breads and pasta manufacturing. Fine semolina, coarse semolina, Harees and Jareesh provide flexibility across customer needs. In parallel, bran and wheat derivatives, including animal bran, edible bran and wheat germ, supported the feed and livestock ecosystem, expanding the Company's customer base and utilization of milling outputs.

First Mills in 2026

In the year ahead, the First Mills brand will remain focused on scaling leadership in core flour categories, reinforcing the operational discipline that underpins performance. The brand aims to lift retail market share to 30% by deepening penetration in priority regions and sustaining double-digit volume growth.

Operational priorities will center on maintaining mill efficiency above 94% while supporting higher throughput, alongside continued strengthening of product quality and consistency across all flour grades.

At the same time, targeted customer expansion will increase the contribution of durum, semolina and wheat derivatives, further diversifying the brand's growth engine and reinforcing its position as a trusted, high-performing staple in the Saudi food market.



About Aloula Brand

Aloula is First Mills' premium consumer brand, positioned at the intersection of quality, innovation and value-added food solutions.

The brand focuses on high-margin flour, mixes and baking products designed for modern households and small bakeries, with a clear emphasis on usability, consistency and performance. Aloula plays a strategic role within the portfolio as the primary driver of customization, innovation and margin enhancement across retail and emerging digital channels.

Premium solutions driving value-led growth

In 2025, Aloula strengthened its role as First Mills' innovation-led growth engine by advancing its shift toward cooking and baking solutions with higher value density. The brand prioritized portfolio diversification, premium channel execution and operational discipline, reinforcing its contribution to profitability and deepening relevance within priority consumer segments. Performance during the year reflected Aloula's ability to translate innovation and focused execution into commercial impact across both physical and digital touchpoints.

Channel Execution and Commercial Focus

During the year, Aloula refined its commercial strategy to prioritize high-potential channels rather than geographic expansion. The brand activated 200 premium modern trade stores nationwide and strengthened its presence across key retail environments through more targeted execution. In parallel, e-commerce was advanced as a core growth channel, delivering a meaningful uplift in online performance and reinforcing Aloula's visibility among digitally engaged consumers.

Innovation through Ready-mix Expansion

Aloula advanced its innovation agenda with the launch of the Tea Cake Mix range in November 2025, introducing vanilla, orange and chocolate variants. This marked the brand's entry into the ready-mix baking segment and expanded usage occasions within the consumer portfolio. While the launch occurred late in the year, it represented a strategic milestone in Aloula's move toward higher value-added solutions, with commercial performance to be assessed in the next reporting period. Additional innovations, including pasta products, remained under development during 2025.

Enhancing Usability and Customer Experience

Customer experience improvements in 2025 focused on clarity, guidance and responsiveness. Aloula upgraded preparation visuals across specialty mixes, expanded its recipe library to support broader usage occasions and improved digital community management processes to guarantee faster response times. These actions strengthened product accessibility and reinforced the brand's service quality standards across consumer touchpoints.

Leveraging AI for Brand Execution

Aloula incorporated AI-enabled tools to improve execution efficiency across content development, recipe ideation and early-stage packaging design exploration. These applications reduced development cycles, improved internal alignment and supported more consistent communication across channels, reinforcing operational discipline while enhancing customer-facing materials.

Aloula in 2026

Looking ahead, Aloula will continue to focus on portfolio diversification, premium channel optimization and digital commerce expansion. Planned priorities include the phased introduction of additional ready-mix innovations, strengthening modern trade execution and the continued enhancement of packaging clarity and product usability to support sustained growth across high-value consumer segments.





Driving growth through specialization and scale

About Naffa'a Brand

Naffa'a is First Mills' specialized feed and animal nutrition brand, serving poultry and livestock producers with high-performance, science-based feed solutions. Built on technical expertise, disciplined manufacturing and close customer engagement, Naffa'a supports farm productivity through tailored formulations and reliable supply. The brand plays a central role in First Mills' portfolio diversification strategy by addressing high-growth, value-added feed segments across Saudi Arabia and selected regional markets.



In 2025, Naffa'a accelerated its evolution from a traditional feed offering into a specialized animal nutrition platform. The brand expanded its product portfolio, strengthened technical capabilities and increased market penetration across new geographies, supported by capacity upgrades and targeted commercial execution. These initiatives positioned Naffa'a as a faster-growing contributor to First Mills' diversified earnings base and reinforced its relevance across intensive poultry and cattle farming segments.

Portfolio Expansion and Product Innovation

Naffa'a significantly broadened its offering during the year with the launch of more than 13 new products designed for intensive poultry and cattle farms. These formulations introduced differentiated nutritional profiles, improved performance characteristics and updated packaging formats. The expanded portfolio strengthened brand visibility, supported market share gains and enabled Naffa'a to address a wider range of farm needs with specialized, performance-driven solutions.

Manufacturing Upgrades and Capacity Enablement

Operational enhancements supported the brand's growth trajectory. Production lines were modified and new manufacturing facilities were added, improving availability, flexibility and the ability to support a broader product mix. From an operational perspective, improvements in pellet cooling, handling efficiency and digestibility enhancement systems contributed to higher feed conversion efficiency and stronger customer outcomes, whereas productivity gains helped protect margins despite market price pressures.

Market Expansion and Technical-led Sales Execution

Naffa'a expanded its geographic reach in 2025, capturing growing market share both within Saudi Arabia and in selected external markets. The hiring of dedicated technical sales teams strengthened customer engagement, enabling deeper technical discussions and more tailored solutions. In

parallel, the acquisition of Al-Kenan Al-Arabia Trading Company enhanced distribution reach and accelerated access to new market segments, reinforcing the brand's commercial momentum.

Data-driven Quality and Customer Support

Quality assurance capabilities advanced meaningfully during the year. Naffa'a strengthened its quality control teams, expanded testing and traceability across feed inputs and outputs and adopted a structured new product development process grounded in scientific evaluation and farm trials. Eleven of the 13 new products were tested directly on farms, with performance data collected and analyzed to validate outcomes. Collaboration with international suppliers enriched R&D capabilities.

Digital Tools and Customer Experience

To support customers more effectively, Naffa'a introduced a dedicated smart application providing technical support tools and guidance aimed at maximizing on-farm product performance. Combined with expanded technical teams across R&D, quality and sales, these initiatives improved responsiveness, knowledge sharing and customer satisfaction, reinforcing Naffa'a's positioning as a solutions-oriented partner rather than a commodity supplier.

Recognition and Industry Presence

Naffa'a received multiple recognitions from formal entities during 2025, including awards at the Saudi Agricultural Expo, reflecting the brand's growing profile and credibility within the agricultural and livestock sector.

Outlook for 2026

In 2026, Naffa'a will continue expanding its specialized product portfolio, with a clear focus on moving further into high-value, specialty feed segments rather than generic offerings. The brand will build on its strengthened manufacturing base, technical capabilities and customer engagement model to deepen market leadership and support First Mills' broader diversification strategy.